Resolving Stress in the Banking System

Ordinarily, in a city like Bengaluru, we would talk about startups. Today, however, I want to talk about the resolution of financial distress. I want to refute the argument that monetary policy has been too tight. Instead, I will argue that the slowdown in credit growth has been largely because of stress in the public sector banking, which will not be fixed by a cut in interest rates. Instead, what is required is a clean-up of the balance sheets of public sector banks, which is what is under way and needs to be taken to its logical conclusion. Specifically, I will describe what we have been doing in India to change the culture surrounding the loan contract. To start, let us look at public sector credit growth compared with the growth in credit by the new private banks [*Author's note: I have omitted the charts this talk was based on, but they are available at https://rbi.org.in/Scripts/BS_SpeechesView.aspx?Id=1009*]

PUBLIC SECTOR LENDING VS PRIVATE SECTOR LENDING

The data indicate public sector bank non-food credit growth has been falling relative to credit growth from the new private sector banks since early 2014. This is reflected not only in credit to industry but also in micro and small enterprise credit. The relative slowdown in credit growth, albeit not so dramatic, is also seen in agriculture, though growth is picking up once again. Whenever one sees a slowdown in lending, one could conclude there is no demand for credit – firms are not investing. But what we see here is a slowdown in lending by public sector banks vis-à-vis private sector banks. Why is that?

The immediate conclusion one should draw is that this is something affecting credit supply from the public sector banks